BIG W

BIG W's strong sales growth in F19 reported across all customer universes driven by an increase in customer transactions and items per basket. A store and DC network review was announced in April with closures planned to support the turnaround of the business.

Sales ($M)

$3,797

▲ 4.2%[1] from F18

LBIT[2] ($M)

$(85)

▲ (24.0)%[1] from F18

New stores medium term annual target

Where previously committed

1 Normalised for the 53rd week.
2 Before significant items.

TRADING PERFORMANCE

BIG W's Store-controllable VOC and VOC NPS improved on the prior year with higher customer scores translating into sales, with an increase in F19 of 4.2% on a normalised basis to $3.8 billion. Comparable sales increased by 5.3% in F19 and 7.2% in Q4 (Easter-adjusted) with growth in all customer universes.

BIG W's growth continues to be driven by an increase in customer transactions (F19: 4.0%) and customers increasingly putting more items in their baskets with comparable items per basket growth of 4.4%. Together this drove comparable item growth of 8.6%. Excluding reusable bags, comparable items increased by 5.2%.

With BIG W's turnaround gaining momentum, and to build a sustainable network for the future, a store and DC network review was announced in April. BIG W intends to close approximately 30 stores over the next three years and two distribution centres at the end of their leases. The review of the store network is ongoing, with three stores recently announced to be closed in F20.

BIG W has remained price competitive, improved ranges and built a convenient online and in-store experience in F19.

Normalised Online sales increased by 128% in F19 with Pick up consistently delivering strong sales growth. Apparel, which has been more challenging, improved steadily through H2 due to a focus on range, stock flow and in-store execution.

Normalised gross profit declined 49 bps for F19 reflecting continued challenges in stockloss as well as slow sell-through of seasonal apparel in H1. Category mix improved in H2 with improved apparel sell-through.

Normalised CODB declined 132 bps resulting from store efficiencies and sales growth fractionalising fixed costs.

The LBIT of $85 million before significant items excludes a $371 million charge identified as part of the network review.

Funds employed declined primarily due to significant items provisions. Inventory quality has improved as a result of solid sales and improved apparel sell-through in H2.

In F20, BIG W will focus on creating a sustainable business that is simpler to operate, and continue providing customers with low prices and more convenient, connected solutions in-store and online.

$ MILLION		F19 53 WEEKS	F18 52 WEEKS	CHANGE	CHANGE NORMALISED
Sales		**3,797**	3,566	6.5%	4.2%
LBITDA before significant items		**(5)**	(30)	(82.2)%	(88.7)%
Depreciation and amortisation		**(80)**	(80)	0.7%	0.7%
LBIT before significant items		**(85)**	(110)	(22.2)%	(24.0)%
Significant items		**(371)**	–	n.m.	n.m.
LBIT after significant items		**(456)**	(110)	315.5%	313.7%
Gross margin	(%)	**31.1**	31.7	(59) bps	(49) bps
Cost of doing business	(%)	**33.4**	34.8	(142) bps	(132) bps
LBIT[2] to sales	(%)	**(2.3)**	(3.1)	83 bps	84 bps
Sales per square metre	**($)**	**3,629**	3,369	7.7%	5.4%
Funds employed		**204**	502	(59.4)%	
ROFE	(%)	**(23.0)**	(23.3)	24 bps	77 bps